

FEDERAL TAX COMPLIANCE AND AUDIT INSTRUCTIONS

EXCERPT FOR CORPORATE AUDITORS

Section A: ORDINARY AND NECESSARY BUSINESS EXPENSES

Under Internal Revenue Code (IRC) Section 162, corporate entities may deduct ordinary and necessary expenses paid or incurred during the taxable year in carrying on any trade or business. Ordinary expenses are defined as those that are common and accepted in the taxpayer's business community. Necessary expenses are defined as those that are helpful and appropriate for the business.

Section B: BUSINESS MEALS AND ENTERTAINMENT RESTRICTIONS

B.1 Entertainment Deductions. In accordance with current tax guidelines, corporate deductions for entertainment, amusement, or recreation expenses are generally 100% disallowed. B.2 Business Meal Deductions. Deductions for business meals are limited to a 50% deduction rate. To qualify, the meal must not be lavish or extravagant under the circumstances, and the taxpayer (or an employee) must be present at the time the food or beverages are provided. Documentation must verify the business purpose and attendees.

Section C: SECTION 179 EXPENSING LIMITS AND PROPERTY RULES

C.1 Expense Limits. The maximum amount a taxpayer may elect to expense under Section 179 for the taxable year is \$1,160,000. This threshold is reduced dollar-for-dollar by the amount by which the total cost of Section 179 property placed in service exceeds \$2,890,000.

Section D: AUDIT DOCUMENTATION AND RETENTION PROTOCOL

D.1 Record Retention Period. To ensure compliance with IRS audit protocols, all corporate taxpayers are mandated to retain tax returns, invoices, sales receipts, bank statements, ledger books, and payroll records for a minimum period of seven (7) years from the date of filing. Failure to provide documentation during an audit will result in disallowance of deductions, tax reassessments, and accuracy-related penalties.